end up in a place that is very far from where you want to be. When I first came to First New York Securities, I said, "I don't want to manage anything. I just want to trade." And here we are.

It's very ironic. You said you didn't want to manage anything, and you ended up helping manage the company.

Yes, it is. I also constantly think that I am about to be found out, which is another personal driver.

What do you mean by "found out"?

A number of times in my career, I have thought that maybe I have just been lucky. Maybe I don't really know what I'm doing, and I have just bluffed my way through. Maybe I have just found a few trades that work, but I won't find any more trades that work, and I will be found out.

[I had overrun my meeting time allotment and Clark had to leave for another meeting. We decided that we would finish the interview on one of his trips to New York. Several months later I met with Clark at First New York Securities. After some casual conversation, he began talking about trading before I even asked a question.]

As a trader, you have to be honest with yourself. I have met many traders who have laid out a strategy on how they will be scale-down buyers. "I'll buy some at eight, and if it goes down, I will add at seven, six, and five." But if you are the type of person who will be puking his guts out if it goes to seven, let alone to six or lower, you shouldn't be buying at all at eight, or if you do, it should be 25 percent of the size. You have to train yourself to trade at a smaller size so that you trade within your emotional capacity. If you are really, really excited about a trade and swing the bat in a big way, and 10 minutes later the market moves against you, but you are the type of person who doesn't handle that type of volatility well, you will end up cutting your position and losing money, even if the trade was ultimately a big winner. We see this behavior in traders all the time. It is the size of the position you put on rather than the price at which you put it on that determines your ability to keep the position.

Your message then is that although traders focus almost entirely on where to enter a trade, in reality, the entry size is more important